Pre-FOMC Drift

Fed-meeting bot · from our SSRN research review · 15 October 2026

+$4,325
cTrader backtest 2021–2026 (about $750 a year)

2.07
profit factor; 62% of trades win

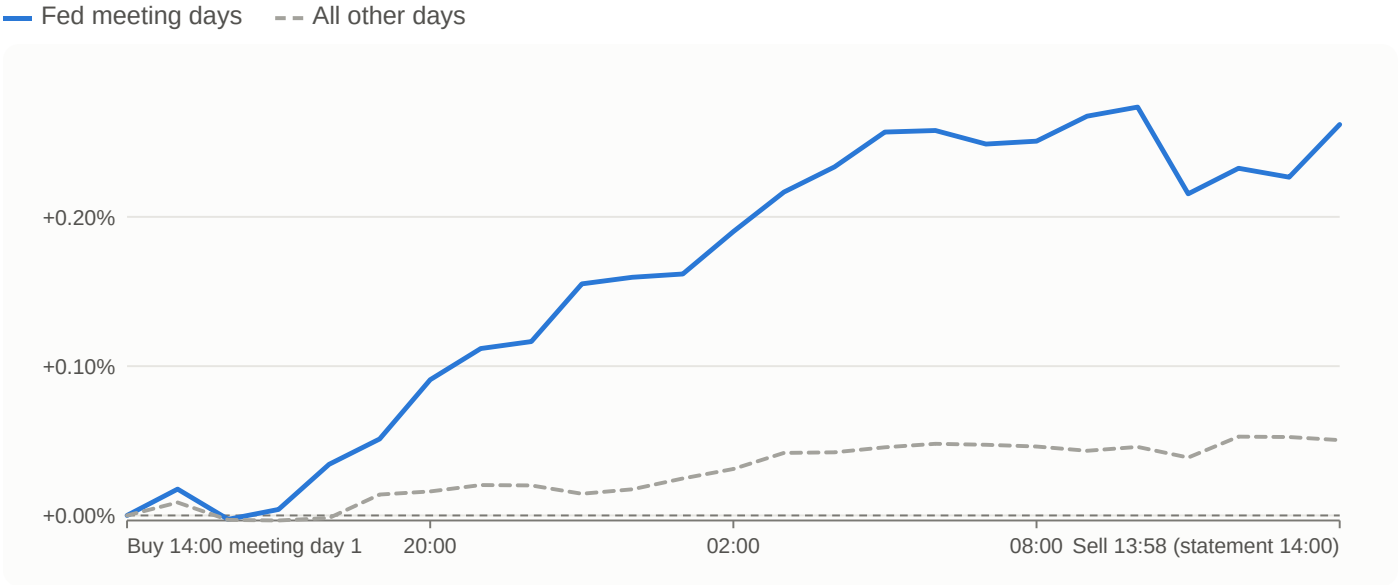
~16
trades a year (8 Fed meetings × 2 indices)

0.02
correlation with the NAS bot

Why it should work

US stock indices have tended to rise in the 24 hours before a scheduled Federal Reserve (FOMC) announcement (Lucca & Moench, *Journal of Finance* 2015). The usual explanation is a reward for holding stocks into a big, uncertain event. Of all the academic calendar effects we tested, it is the only one still profitable after FTMO's costs.

Why it works: the average US100 move in the 24 hours before the Fed (2014 – 2026)



Blue: average of the 97 scheduled Fed meetings, measured from 14:00 New York on meeting day 1 (+0.26% by the statement). Grey: the same 24 hours on every other Monday–Thursday (2333 days, +0.05%). Times are New York; before costs.

The rules

- **Markets:** US100.cash and US500.cash.
- **Buy at 2:00pm New York time on the first day of each scheduled Fed meeting** (the day before the statement).
- **Sell at 1:58pm New York time on announcement day**, just before the 2:00pm statement — it never holds through the announcement.
- **Safety stop** 3% below the entry. The worst event since 2014 was −1.9%.
- Scheduled meetings only. The dates for 2021–2027 are built into the bot's settings.

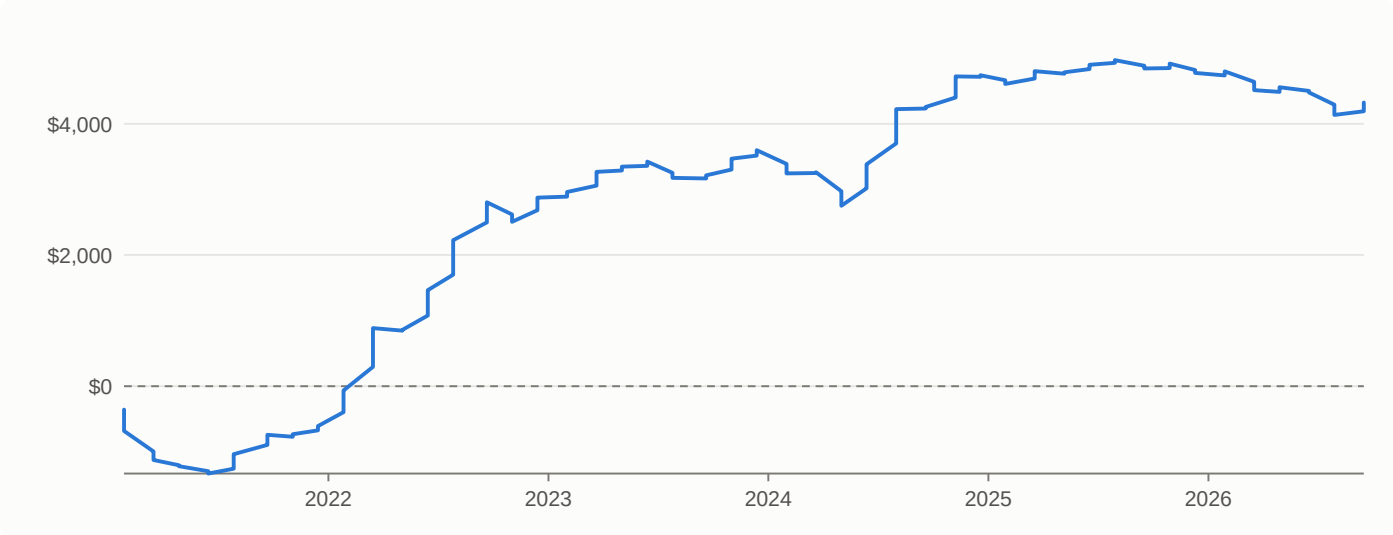
Size

- **$20,000 notional per index.** A typical event moves each position by about ±$150.
- The worst event since 2014 would have cost about −$380 per index (about −$760 for both).

How it was tested

Test	Result
Research, 2014–2026, 1-hour bars, after costs and one night of swap	NAS100 +0.22% a trade, US500 +0.14%; positive in 2014–20, 2021–23 and 2024–26
cTrader backtest, M1 bars, Jan 2021 – Oct 2026, $20k per index	+$4,325, profit factor 2.07, 92 trades, max drawdown 1.5%, largest loss −$359
US100 by period	2021–23 +$2,260 · 2024–26 +$682
US500 by period	2021–23 +$1,339 · 2024–26 +$44 (about flat lately)
Timing check	Every trade held 23 h 58 min, exactly as designed

Backtest growth: 2021 – Oct 2026



Running total of closed profit in your cTrader backtest (US100 + US500, $20k each, M1 bars, commission 30): $4,325 from 92 trades. Each step is one Fed meeting.

Running it

- Attach **FOMC_Drift.cs** to a **US100.cash, 1-hour** chart on the FTMO account. Leave the defaults.
- First live trade: **27 October 2026** (sold on 28 October before the statement).
- **Once a year**, add the next year's meeting day-1 dates from the Fed's calendar (federalreserve.gov → Monetary Policy → FOMC calendars) into the "Extra Dates" setting.

Switch-off rule (monthly review)

Pause the bot if its last 16 trades (about one year) are net negative, or if a single event loses more than 3%. It is small and has been weakening on US500, so it is an add-on, not an income engine.

Files: bots/08_FOMC_Drift/FOMC_Drift.cs (the bot), STRATEGY.md, research/ssrn (the research and test scripts).